

Ms (not Ws). Big Ms see price drop an average of 17% after a downward breakout, and they act as the proxy for a non-busted big W.

Busted pattern performance for big Ws is not as good as trading a big M chart pattern. However, if you are lucky enough to trade a single busted big W, then price drops an average of 23% (in bull markets). That's exceptional for a bearish pattern; of course, your mileage may vary.

How can you tell if the big W will single bust (as opposed to double or triple bust)? I'll leave that as an exercise for the reader (translation: I have no idea, but focus on nearby overhead resistance that might turn price down or the timing of an earnings announcement).

Table 7.9 Busted Patterns

Description	Bull Market	Bear Market
Busted patterns count	389 or 18%	105 or 20%
Single bust count	220 or 57%	78 or 74%
Double bust count	123 or 32%	19 or 18%
Triple+ bust count	46 or 12%	8 or 8%
Performance for all busted patterns	−15%	−18%
Single busted performance	−23%	−22%
Non-busted performance (big Ms)	−17%	−22%

Trading Tactics

Table 7.10 shows trading tactics.

Measure rule, targets. Use the measure rule to help determine how far price may rise after the breakout. The lower portion of the table shows the numbers. Before I get there, let me explain how to use the measure rule.

Measure the height of the big W by subtracting the lower price of the two bottoms from the price of the highest peak between the two bottoms. Add the height to the peak between the two bottoms to get a full-height target. The table says that price will reach that target 74% of the time in bull markets.